

IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC
OF SRI LANKA

In the matter of an Application of a Case
Stated under Section 11A of the Tax
Appeals Commission Act No. 23 of 2011
as amended by Act No.20 of 2013.

CA Case No: TAX 34/2022
Tax Appeals Commission Case No.
TAC/VAT/006/2015

The Commissioner General of Inland
Revenue,
Department of Inland Revenue
Sir Chittampalam A. Gardiner Mawatha,
Colombo 02.

Appellant

Vs.

Standard Chartered Bank Ltd,
No. 37,
York Street,
Colombo 01.

Respondent

Before: M.C.B.S. Morais J.

&

Annalingam Premashanker J.

Counsel: Manohara Jayasinghe, DSG and S. Dunuwille, SC for the Appellant.

Naomal Goonewardene with Suren Fernando and Prashanthi Vignanathan for the Respondent.

Written Submissions: By the Appellant – on 28.10.2024, 17.09.2026
By the Respondent – on 15.11.2023

Argued on: 20.03.2026

Decided On: 24.09.2026

JUDGMENT

M.C.B.S. Morais J.

This is an appeal by way of case stated against the determination of the Tax Appeals Commission (TAC) dated 28th of February 2022, in the case of TAC/VAT/006/2015.

This appeal is filed under Section 11A(1) of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

The tax in dispute is against the VAT return submitted by the Respondent for the taxable periods from 1st of January 2010 to 31st of December 2010. Thereby, the taxable amount in dispute is Rs. 1,889,448,985.00 with a penalty of Rs. 869,146,532.00.

FACTUAL BACKGROUND

The Standard Chartered Bank Sri Lanka (hereinafter will be referred to as the Respondent) is a limited liability company incorporated and domiciled in Sri Lanka. The Respondent is a registered branch of the Standard Chartered Bank PLC, a limited liability Company incorporated in the United Kingdom, which carries out banking activities in Sri Lanka through the Standard Chartered Bank- Sri Lanka Branch.

The Respondent has registered for Value Added Tax (VAT) on Financial Services under the provisions of Value Added Tax Act No. 14 of 2002 as amended (VAT Act).

The Respondent has submitted the VAT return for the taxable periods from 1st of January 2010 to 31st of December 2010 which was rejected by the Assessor of the Department of Inland Revenue by the intimation letter dated 5th of February 2013. The Assessor has rejected the said return on the basis that the Respondent has failed to add certain emoluments in calculating the VAT return for the above taxable period. Accordingly, the Assessor has issued the Notice of Assessment dated 19th of February 2013 for the reasons set out in the intimation letter.

The Respondent being aggrieved by the decision of the Assessor, made an appeal to the Commissioner General of Inland Revenue (hereinafter will be referred to as the Appellant). The Appellant in his determination dated 26th of February 2015, determined the appeal by upholding the decision of the Assessor. The Respondent being dissatisfied with the said determination of the Appellant, made an appeal to the Tax Appeals Commission (TAC) on the basis that the assessment issued by the Deputy Commissioner of the Department of Inland Revenue is void. The TAC after considering the submissions made by both parties allowed the appeal by the determination dated 28th of February 2022 and annulled the determination of the Appellant.

Being dissatisfied with the said determination, the Appellant has requested the TAC to cause a Case Stated to the Court of Appeal on the following Question of Law.

“Whether the adjustment made to reversal of a loan loss provision relates to a receivable from the Ceylon Petroleum Corporation is a deductible item from the profit, in calculating the total value addition of the company for VAT on FS purposes under VAT on FS in terms of VAT Act?”

Before, I move onto analyze the question of law before this court, I would like to set out the factual background that shall effect the assessment in question.

The Respondent was owed an amount of Rs. 9,266,400,000 from the Ceylon Petroleum Corporation (CPC). Accordingly, based on the directions issued by the Central Bank of Sri Lanka, the Respondent contends that it was required to make a provision in its accounts in respect of the CPC receivables. However, it is the position of the Respondent that it was only an intermediary between the Bank head office and the CPC and it did not make a profit or a loss through such transaction.

The Respondent argues that the financial statements for the year 2009 was finalized on 31st of May 2010 and submitted accordingly. It is further contended that the CPC receivables were returned on 7th June 2010 and were thereafter taken over by Standard Chartered Bank – UK. In consequence, the Respondent states that the provision made in respect of the said receivables was reversed in the financial statements for the year 2010, as no income had accrued to the Respondent by reason of such provision.

ANALYSIS

Although the Appellant, in its submissions, alleges that there is a discrepancy in the calculation of the emoluments by the Respondent for the purpose of VAT on Financial Services, the question of law before this Court is confined to the CPC provision. Accordingly, I shall restrict my consideration to the question of law raised before this Court.

It is the contention of the Appellant that the said reversal of the CPC provision should be taken into account for the purpose of calculating the VAT on Financial Services. The Appellant submits that the ‘total value addition’ for the purpose of VAT should be

calculated on the net profit or loss of the entity before income tax, in accordance with the applicable accounting standards. On this basis, the Appellant argues that the reversal of the CPC provision should be made in conformity with the accepted accounting standards and that the net profit stated in the income statement of an entity should not be adjusted in calculating the total value addition, except in respect of economic depreciation and emoluments payable, for the purpose of VAT on Financial Services. Accordingly, it is the Appellant's position that the net profit of Rs. 10,564,937,000.00 reported in the Respondent's income statement should be taken into account in calculating the value addition arising from the financial services provided by the Respondent.

However, the Respondent contends that the calculation of the VAT for the specified year has been done in accordance with the accepted accounting standard in practice. Thereby, the Respondent contends that the accepted accounting standards do not require the said provision to be included in their financial report for the purpose of VAT on financial services. The Respondent further argues that the said provision was included in the accounts based on the directives issued by the Central Bank of Sri Lanka and not for the purpose of determining the annual Income tax or VAT returns.

The TAC having considered the arguments presented by both parties, has decided in favour of the Respondent in the following manner;

“The Representative for the Appellant further stated that merely to comply with CBSL directive, on 31.May 2010 the bank finalized the audited accounts for the year 2009 with the inclusion of the provision for the receivables from CPC. Approximately, within 7 days from the date of finalizing the audited accounts for the year 2009, the head office took over CPC receivables and accordingly there was no longer any requirement for any provision and the provision which has been already made in the 2009 audited accounts was reversed in the 2010 accounts. Although, the Appellant had initially filed a VAT return for 2009 including the deduction for the creation for the provision, upon the Assessor refusing to accept the position, the Appellant submitted an amended VAT return for 2009 adding back the provision. Likewise, in the VAT returns for the year 2010, the Appellant made an adjustment by deducting an amount equal to the amount added back in 2009. The Representative for

the Appellant emphasized that the provision was merely a book entry which was unusual, and extraordinary, and that was made solely to comply with the directive of the CBSL. He further stated that, the bank has no real gain or loss from this book entry and there is no any value addition created by this transaction.

The Representative for the Appellant submitted that the uncertain status to be interpreted in favour of the tax payer and Section 25C is uncertain as to what should form the basis of profit on which the total value addition is computed for the purpose of determining the VAT on FS liability. He has cited several cases supporting his argument, that legislation should be interpreted strictly on the language and the uncertain tax statutes are to be interpreted in favour of the tax payer.

....

In considering the facts submitted, we are of the view, that the provision made by the Appellant, in 2009 was an extraordinary transaction that was made to comply with the directive of the CBSL. The reversal of that provision in the Year 2010 is not a source of income in terms of section 25 (F) of the VAT Act, No 14.of 2002. It is merely a book entry and no value was created by the Appellant that is liable to pay VAT on FS. The Appellant bank has no real gain or loss from this book entry and there is no any value addition created by this transaction.”

Having considered the submissions made by both parties, the TAC has decided that the said provision in question is an extraordinary transaction made and recorded in the financial statements based on the directives issued by the Central Bank of Sri Lanka. Thereby, the TAC has decided that the reversal of the said provision in the year 2010 is not a Financial Service under section 25F of the VAT Act. Hence, it was determined that the said transaction is merely a book entry since there were no value addition created by the Appellant for it to be considered for VAT under Financial services.

The main question before this court is to determine if the said provision of receivables from the CPC could be ignored or if it needs to be considered for the calculation of VAT on Financial Services.

In determining the said question, it is important to understand the provisions in relation to the VAT on Financial Services under the VAT Act.

The VAT on Financial Services was introduced with effect from 1st of January 2003, by way of Amendment Act No. 17 of 2003 to the VAT Act. Accordingly, Chapter IIIA of the VAT Act deals with VAT on Financial Services by any specified institution or individuals.

Section 25C of the VAT Act describes the way in which the VAT on Financial services should be calculated;

“25C. (1) Every registered specified institution under this Chapter shall be liable to tax for each taxable period on its total value addition of such institution which includes the net profits or loss, as the case may be, before payment of income tax on such profit computed in accordance with accepted accounting standards, subject to an adjustment for economic depreciation, determined by the Minister having regard to the interest of economy and maintaining the uniformity of allowable depreciation by Order published in the Gazette, and the emoluments payable to all the employees of such institution.” [Emphasis added]

According to the above provision, the VAT on Financial Services payable by an institution for a specified taxable period is calculated on the total value addition of that institution. Such total value addition includes the net profit or loss, as the case may be, before payment of income tax on such profit, computed in accordance with accepted accounting standards. The provision further states that the total value addition is subject to an adjustment for economic depreciation, as determined by the Minister by Order published in the Gazette, and the emoluments payable to all employees of such institution.

Accordingly, in interpreting the above section it needs to be noted that the VAT on Financial Services shall only be calculated on the ‘total value addition’ of the institution. Although the Appellant has consistently argued that the Respondent failed to comply with section 25C in calculating the VAT, the Appellant has failed to establish before this Court that the provision in question resulted in any value addition to the Respondent so as to be included in the calculation of VAT on Financial Services.

On the Contrary, the Respondent has clearly established to this court that the said provision in issue is only one-off transaction which has not caused any profit or loss to the Respondent, since it has acted as an intermediary. Further, the Respondent has brought to the attention of this court that the said transaction was included in the financial statements of the Respondent only due to the directions issued by the Central Bank of Sri Lanka and not otherwise (Annexure A1-A3, vide pages 51-53 of the Tax Brief).

Even though the said direction issued by the CBSL is not disputed, it needs to be taken into account that according to the Direction No. 2.1 of the Banking Act Direction No. 3 of 2008, issued by the Central Bank of Sri Lanka (CBSL) on 8th May 2008, CBSL is authorized to issue directions to the licensed commercial banks concerning the manner in which any aspect of the business of such banks is to be conducted.

Moreover, the Appellant consistently submits that an equitable approach should be adopted in the interpretation of taxing statutes; it must nevertheless be borne in mind that the Court is required to give effect to the intention of the Parliament as expressed in the language of the statute. Where the words of a taxing provision are clear, they must be given their ordinary and natural meaning. The Court cannot, on considerations of equity or fairness, extend or depart from the clear language employed by Parliament. Accordingly, the question must be determined by reference to the wording of the relevant statutory provision and the legislative intention reflected therein.

A similar approach was adopted in the case of *John Keells Holdings PLC V. Commissioner General of Inland Revenue And Others* [2020] V2 SRI-LR 251, His Lordship Samayawardhena J., having considered several authorities, set out the approach to be followed in the interpretation of taxing statutes in the following terms:

“However, one thing is crystal clear. Item 6 of the second Gazette is ambiguous-one interpretation favours the taxpayer and the other favours the tax collector. In such a situation, it is well settled law that a taxing statute shall be strictly interpreted and any ambiguity shall be resolved in favour of the taxpayer, not the tax collector.

Maxwell, op. cit., page 256 emphasises: Statutes which impose pecuniary burdens are subject to the same rule of strict construction. It is a well-settled rule of law that all charges upon the subject must be imposed by clear and unambiguous language, because in some degree they operate as penalties: the subject is not to be taxed unless the language of the statute clearly imposes the obligation and language must not be strained in order to tax a transaction which had the legislature thought of it, would have been covered by appropriate words. "In a taxing Act," said Rowlatt J., "one has to look merely at what is clearly said. There is no room for any intendment. There is no equity about a tax. There is no presumption as to a tax. Nothing is to be read in, nothing is to be implied. One can only look fairly at the language used." Cape Brandy Syndicate v. I. R. C. [1921] 1KB 64 at 71, approved by Viscount Simon LC in Canadian Eagle Oil Co. Ltd. v. R [1946] AC 119. (emphasis added)

The Supreme Court in The Manager, Bank of Ceylon, Hatton v. The Secretary, Hatton Dickoya Urban Council, cited the above quotation with approval in interpreting a taxing statute in favour of the taxpayer.

Bindra, op. cit., page 1036 states:

Taxing Acts must be construed strictly. One must find words to impose the tax, and if words are not found which impose the tax, it is not to be imposed. If there are two views possible, the one favourable to the assessee in matters of taxation has to be preferred. The assessee should be given the benefit of the doubt and the opinion which is in its favour should be given effect to. In interpreting a fiscal statute the court cannot proceed to make good deficiencies if there be any; the court must interpret the statute as it stands and in the case of a doubt, in a manner favourable to the tax-payer."

Therefore, the above authorities establish that a taxing statute must be interpreted in accordance with the clear language used by Parliament. Accordingly, where section 25C prescribes that the 'total value addition' is to be determined on the basis of the net profit or

loss, subject to the adjustments specified therein, effect must be given to that requirement without importing any further adjustment not provided for by the statute.

Therefore, I am of the view that the said CPC provision in issue does not fall within the scope of 'value addition' of an institution in calculating its VAT on Financial Services under section 25C of the VAT Act.

Hence, this court is of the view, that the TAC has not erred in determining the provision made by the Respondent in the year 2009 was an extraordinary transaction made to comply with the directions issued by the Central Bank of Sri Lanka and therefore the reversal of the said provision in the year 2010 does not amounts to a source of income but merely a book entry. Further, the Appellant has failed to establish whether a value addition is created by the Respondent in the course of the said transaction. Therefore, the determination of the TAC dated 28th of February 2022 shall sustain.

Accordingly, I answer the question of law No. I in the Negative.

CONCLUSION

When considering the facts and the circumstances of the case, in line with the materials presented before this court, I am of the considered view that the question of law formulated by the Appellant should be answered as set out below.

Question of law I – Negative

The appeal is dismissed.

The determination of the TAC dated 28th of February 2022 shall sustain, and the assessment dated 19th of February 2013 issued by the Assessor of the Department of Inland Revenue is null and void.

The Registrar is directed to issue a copy of this judgment to the Secretary of the Tax Appeals Commission.

Judge of the Court of Appeal

Annalingam Premashanker J.

I agree

Judge of the Court of Appeal